

170 Michaela Drive

Alpharetta, GA 30009 · 6 bd / 5.5 ba · ~5,120 sq ft · New construction (2025)

ASKING**\$1.82M**

\$355 / sq ft

**REHAB /
COMPLETION****\$173K**+10% contingency
modeled**CLAIMED ARV****\$3.0M**

\$586 / sq ft

MODELED ARV**\$2.4-
2.55M**

\$469-498 / sq ft

Verdict: Real discount, inflated ARV — pursue, but underwrite to ~\$2.5M

This is a 2025-built new-construction home near downtown Alpharetta, not a classic rehab. It last traded as a teardown for **\$570K in Oct 2024**, was built out, then listed **Aug 2025 at \$2,695,000**, cut to **\$2,495,000**, and **delisted Sept 25, 2025 without selling**. It has cycled through multiple MLS numbers since. That history is the single most important fact in this deal:

Red flag on the \$3.0M ARV. The open market already declined this exact house at \$2,495,000 (\$487/sq ft) in fall 2025, and Alpharetta prices have since drifted **down ~5.4% YoY** (median \$724K, Mar 2026) with days-on-market rising (43 vs 36). A \$3.0M exit is ~20% above a price that already failed. Do not underwrite to it without a same-street, same-size closed comp.

Why the deal still works. At \$1.82M you are buying **27% below the failed list price** and ~\$355/sq ft — well under replacement cost for finished luxury product in 30009. Even at a conservative \$2.5M exit, the model shows **~\$294K profit all-cash (14.3% ROI, ~8 mo)** or **~\$154K financed (~27% cash-on-cash)**. The margin of safety comes from the entry price, not the ARV story.

Key numbers at a glance

METRIC	VALUE	READ
Total project basis (all-cash)	\$2,055,800	Purchase + closing + rehab w/ contingency + 8-mo carry
Total basis (hard-money financed)	\$2,196,400	Adds ~\$140.6K points + interest
Breakeven sale price (financed)	≈ \$2.34M	Comfortably below the \$2.495M failed list
Profit at \$2.5M exit / \$3.0M exit (financed)	\$154K / \$624K	Upside is real if seller's ARV proves out
70%-rule max offer @ \$3.0M ARV	\$1,927,000	Asking passes — but only at the claimed ARV
70%-rule max offer @ \$2.5M ARV	\$1,577,000	Asking fails at realistic ARV → negotiate

Recommendation

Offer \$1.65-1.72M, justify with the failed-listing history and softening market, and hold a hard ceiling of **\$1.82M only if** diligence confirms (a) clean title with no mechanic's liens, (b) certificate of occupancy or a verified path to one inside the \$173K budget, and (c) an agent CMA supporting ≥ \$2.5M. Target exit list price: **\$2,475,000-\$2,550,000** — deliberately under the psychological \$2.5M line the market already rejected.

Prepared for Cleeford Faustin · Sources: Redfin, Zillow, Movoto, Houzeo, Ansley RE listing records; Redfin/Zillow/Houzeo Alpharetta market reports (accessed Jul 4, 2026). All figures are estimates for decision support, not an appraisal.

1 · Financial Breakdown

Uses of funds (8-month project)

LINE ITEM	AMOUNT
Purchase price	\$1,820,000
Acquisition closing costs (~1.5%)	\$27,300
Rehab / completion budget	\$173,000
Rehab contingency (10%)	\$17,300
Hard costs	\$2,037,600
Property taxes (8 mo, est.)	\$11,000
Builder's-risk / vacant insurance	\$4,800
Utilities, lawn, misc.	\$2,400
All-cash project basis	\$2,055,800
Hard-money origination (2 pts on \$1.629M)	\$32,600
Interest (10.5% APR, 8 mo, draws averaged)	\$108,000
Financed project basis	\$2,196,400

Financing assumption (typical GA hard money)

TERM	VALUE
Loan: 80% of purchase + 100% rehab	\$1,629,000
Down payment (20% of purchase)	\$364,000
Rate / points	10.5% / 2 pts
Est. total cash in (down, closing, pts, carry, interest)	≈ \$567,000

Sale-side assumptions

Commission + seller closing	6.0% of exit
Hold to resale	8 months
Exit DOM target	< 45 days

Where the money goes — financed basis \$2.196M

Share of total project basis

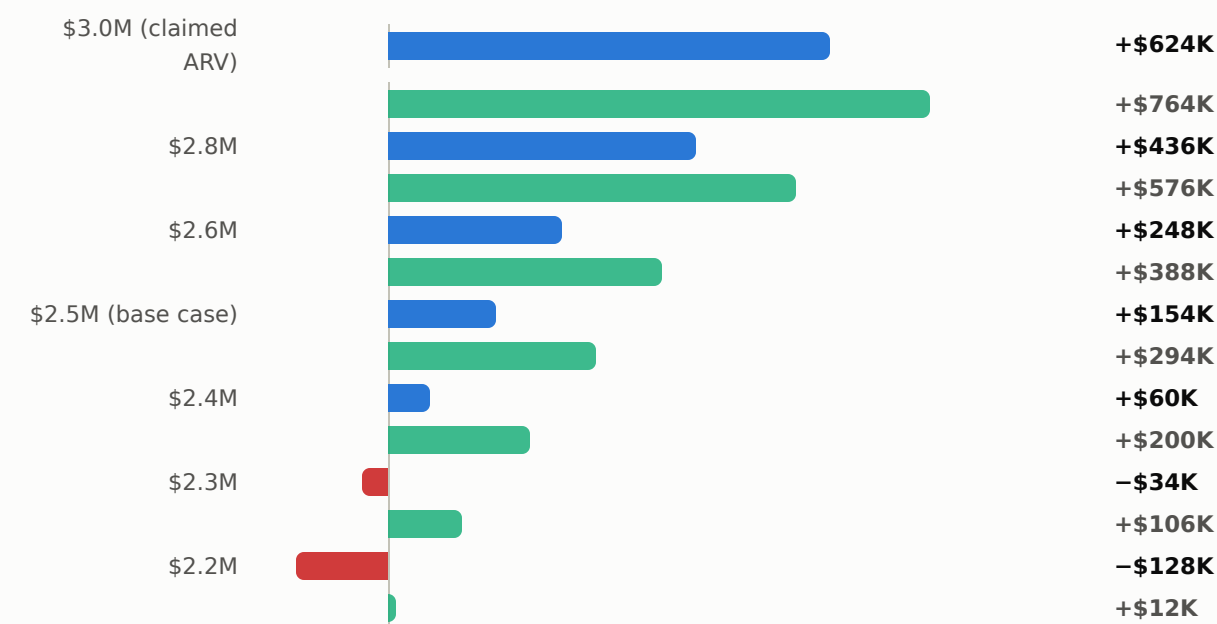


- Purchase 82.9%
- Rehab+cont. 8.7%
- Carry 0.8%
- Closing 1.2%
- Financing 6.4%

Profit by exit price — the number that decides this deal

Net profit after 6% selling costs

Blue = financed (hard money) · Green = all-cash. Zero line marked. Failed 2025 list price was \$2.495M.



Breakeven exit: ≈ **\$2.34M financed** · ≈ **\$2.19M all-cash**. The deal survives a sale 6%+ below the price that already failed — that is the true margin of safety.

2 · Market Analysis — Alpharetta / 30009, mid-2026

MEDIAN SALE (CITY) \$724K Down 5.4% YoY (Mar 2026, Redfin)	DAYS ON MARKET 43 vs 36 a year ago — slowing	30009 NEW-CONST. LISTINGS 89 Median new-build list \$867K	THIS HOME, \$/SQ FT \$355 Buy basis vs \$487 failed list
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What the tape says

- **The broad Alpharetta market is cooling, not crashing.** Median prices are off ~5% YoY with DOM stretching; well-priced homes in premium pockets still see competitive offers, but stale or aspirational pricing sits.
- **Downtown 30009 is the strongest micro-location in the city** — walkability to Main Street, Avalon proximity, the Alpha Loop, and top Fulton schools (Milton HS feeder pattern). New luxury projects (Ronara Villas, Mayfair on Main, Byers Park) are proving \$1.6M+ demand steps from downtown, and they are also this flip's *direct competition*.
- **The \$2.5M-\$3M band in 30009 is thin.** Most volume clears below \$1.6M; buyers at \$2.5M+ compare against Milton estates on acreage. That means longer marketing time and appraisal risk at the top of the range.
- **This specific asset has price discovery already:** \$2.695M (rejected) → \$2.495M (rejected) → delisted → multiple relists. A stale, multi-MLS history means the buyer pool has seen it; the relaunch must look and feel like a different product (new photography, staging, completed punch list, fresh narrative).

ARV triangulation

EVIDENCE	IMPLIED VALUE	WEIGHT
Failed list Aug-Sep 2025 (\$2.495M, no takers)	< \$2.50M	Ceiling evidence — strongest single data point
Market drift since (–5% city-wide, softer luxury DOM)	\$2.35–2.45M	Adjusts ceiling down
Completion of punch list / \$173K scope + staging + relaunch	+\$100–150K vs 2025 showing	The 2025 listing likely showed unfinished
New-build \$/sq ft for finished downtown luxury (\$470–500)	\$2.40–2.56M	Sanity band on 5,120 sq ft
Underwriting ARV	\$2.45–2.55M	Use \$2.5M base · \$3.0M is not evidenced

Open question that decides the upside: why does a 2025 build need \$173K of work, and why would the seller take \$1.82M after listing at \$2.495M ten months ago? The most likely answers — builder distress, unfinished interior/CO not issued, or a wholesaler spread — each change the diligence list. If the house showed unfinished in 2025, the failed list price understates finished value and the true ARV may sit at the top of the band. Verify before you rely on it.

Risk register

RISK	LEVEL	MITIGATION
ARV overstated (\$3.0M claim vs \$2.495M failed list)	HIGH	Underwrite \$2.5M; require CMA + walkthrough of active \$2M+ 30009 comps before closing
Mechanic's liens / title from distressed builder	MEDIUM	Full title exam, lien waivers, owner's title policy; escrow holdback if open permits
Scope creep — "rehab" hides construction defects	MEDIUM	Independent GC + structural inspection; verify CO status and open permits with City of Alpharetta
Carry extension in a slowing market (DOM 43↑)	MEDIUM	Price at \$2.475–2.55M day one; pre-agree price-cut cadence (21/45 days); 12-mo interest reserve
Stale-listing stigma (4+ MLS numbers)	LOW-MED	Relaunch as finished product: staging, new media, twilight photos, launch event
Rate/appraisal risk for end buyer at \$2.5M+	LOW-MED	Jumbo buyers less rate-sensitive; keep comps package ready for appraiser

3 · Strategy & Action Plan

Offer & negotiation

- **Open at \$1.65M, target $\leq$ \$1.72M, walk above \$1.82M.** Leverage: 13+ months of failed marketing, price cut, delist, multiple relists, -5% market, and your speed/certainty of close. Every \$50K off entry $\approx$ \$50K straight to profit and drops breakeven by $\sim$ \$53K of exit price.
- **If the seller won't move on price, move on terms:** seller completes punch-list items or credits at closing; seller pays transfer costs; 45-day free look with access for contractors.
- **If this is a wholesaler assignment,** ask for the contract price. At a \$1.82M ask against a probable sub-\$1.7M contract, negotiate the spread or go direct after expiry.

Diligence checklist (before hard money, non-negotiable)

- **City of Alpharetta permits & CO:** confirm certificate of occupancy status and any open/expired permits. If no CO, get a written path-to-CO estimate — this is where \$173K becomes \$300K.
- **Title & liens:** full exam for mechanic's liens, materialman claims, builder LLC judgments; require lien waivers/affidavits at closing.
- **Independent scope validation:** your own GC bids the \$173K scope line-by-line; structural + stucco/water-intrusion inspection on the new build (new $\neq$ sound).
- **ARV proof:** licensed agent CMA of 30009/Milton closed sales \$2.2–3.0M (last 6 mo) + walk the active competition (Ronara Villas, Mayfair on Main).
- **Survey, HOA (if any), flood cert, insurance quote** before the diligence clock runs.

Exit strategy waterfall

PLAN	TRIGGER	OUTCOME
A — Finish & retail (primary): complete scope in 60–90 days, stage, relaunch at \$2,475,000–\$2,550,000	Default path	Base case $\sim$ \$154–300K financed profit; under-45-DOM pricing beats chasing \$3.0M and sitting
B — Stretch price test: launch at \$2.65M only if 3+ closed comps $\geq$ \$560/sq ft appear by completion	Comp evidence materializes	Upside toward \$400–600K; pre-commit to cut to \$2.525M at day 21 if showings $<$ 8/wk
C — Luxury lease fallback: rent est. \$9.5–11.5K/mo	No offers $\geq$ \$2.35M by month 6	Rent does not cover hard-money debt ($\sim$ \$14K/mo) — refi to DSCR won't pencil. This is a bridge, not a business plan; budget a 12-month interest reserve instead
D — Wholetail: light-clean and re-sell as-is to another investor/builder	Diligence finds defects but entry $\leq$ \$1.70M	Exit \$1.9–2.0M quickly; small profit, capital preserved

Execution calendar (8-month plan)

PHASE	WEEKS	MILESTONES
Contract & diligence	0-4	Offer, title exam, permits/CO check, GC bids locked, appraisal/BPO
Close & mobilize	4-6	Close, builder's-risk policy, permits transferred, contractors start
Completion work	6-18	\$173K scope + punch list; weekly draw inspections; order staging
Relaunch	18-20	New photography/video, stage, list at \$2.475-2.55M, broker open
Sell & close	20-34	Target contract $\leq$ 45 DOM; appraisal comp package ready; close ~month 8

Bottom line. Buy the discount, not the dream: at $\leq$ \$1.72-1.82M entry this deal makes money at prices the market has already proven, and the \$3.0M claim becomes free upside instead of a requirement. If diligence surfaces lien or CO problems that can't be priced in, walk — the entry discount is the entire thesis.

Sources: Redfin — 170 Michaela Dr & Alpharetta market report · Zillow — property & 30009 data · Movoto, Houzeo, Ansley RE, Homes.com listing records · Houzeo Alpharetta 2026 market report. Figures are estimates for decision support; obtain a licensed appraisal, inspection, and title exam before purchase. Prepared July 4, 2026.